Expected return scenarios for U.S. equities and investment-grade bonds
Approximate inputs as of early 2024. Real return estimates are 10-year annualized.

Asset	Scenario	Key assumption	Yield / carry (%)	Est. real return (ann., 10yr, %)	Main driver
U.S. Equities	Base	Multiple stable, trend earnings growth, inflation ~2.5%	1.4	4–5	Earnings growth
U.S. Equities	Favorable	Multiple expands, above-trend growth, inflation subsides	1.4	7–9	Multiple expansion
U.S. Equities	Adverse	Multiple contracts, recession, inflation stays elevated	1.4	-1–1	Multiple contraction
IG Bonds (10yr)	Base	Yields stable, hold to maturity	4.3	1.5–2.0	Carry
IG Bonds (10yr)	Favorable	Yields fall 50bp, soft landing	4.3	2.5–3.5	Carry + price gain
IG Bonds (10yr)	Adverse	Yields rise 100bp, re-acceleration of inflation	4.3	-1.0–0.5	Duration loss